



In that case, there is a possibility that the management has not been very prudent in terms of utilisation of capital. However, you need to understand the business before categorizing the assets. This will give an idea of how the assets are used, whether productive or unproductive.

Let us summarise the two types of fixed assets-

Productive Assets

Un-Productive Assets

Productive Assets

These include all those assets which directly contribute to the production function.

Un-Productive Assets

These include all those assets which do not directly contribute to the production function.

Depending on the nature of business, we can consider plants and buildings as productive or unproductive fixed assets. The building can either be owned or rented. So, the ultimate idea is whether a company's assets are tied up in productive or unproductive use. We want more assets to be tied up to productive use as compared to unproductive use. This ensures efficient use of capital and healthy returns on the same.

In the next section, we will talk about Intangible assets and their three categories.